Take-Two Interactive (NASDAQ: TTWO) Long Recommendation

2025 UBS Stock Pitch Competition

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Pitched Price: $180 | Probability-Weighted Price Target: $197.53 | Implied Upside: 10%

Company Overview

Founded in 1993, Take-Two Interactive is a growth-focused video game developer and publisher with the goal of creating high quality and engaging games for a global audience on all key platforms.

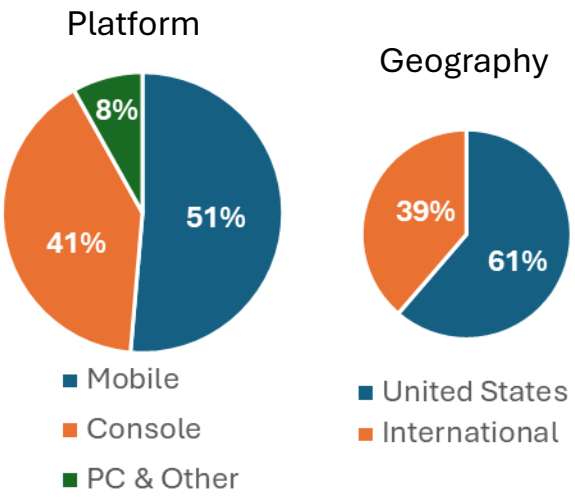
Revenue Drivers

Recurrent Spending: subscriptions, microtransactions, and add-on content bring revenue beyond the initial sale of the game.

Game Sales: Take-Two Interactive owns two of the six most sold video games of all time.

Zynga Acquisition: the acquisition of Zynga in 2022 increases TTWO's exposure to the mobile gaming market and now accounts for over 50% of total net bookings and 64% of recurrent spending through their mobile titles. Main revenues from virtual items and advertising.

FY 2024 Net Revenue Segments



Take-Two Interactive's Economic Moat

Strong Intellectual Property: franchises like *Grand Theft Auto, Red Dead Redemption,* and *NBA 2K* bring great brand value and player loyalty.

Mobile Advertising Network: TTWO has built a strong portfolio of highly successful and popular mobile games, which they can use to cross-promote their other games to their own players.

Network Effect: online multiplayer games create large communities around their franchises and attract more players.

Three Main Labels

Rockstar – focused on making blockbuster titles like *GTA* and *Red Dead Redemption*

2K – Sports, shooter, action, role-playing, strategy & licensed games

Zynga – Mobile game publisher with portfolio of engaging and top grossing games

Management & Business Strategy

Take-Two Interactive's management brings decades of experience in the entertainment industry and has played an important role in the release of the company's most successful titles.

Key Management

Strauss Zelnick – CEO (since 2007)

- 40+ years of experience in the entertainment industry
- Focus on diversifying product line and creating new franchises
- Entertainment Industry experience at 20th Century Fox as President and COO

Karl Slatoff – President (since 2013)

- Works to support Take-Two Interactive's labels with growing their portfolio & improve operations
- M&A experience at Disney, Lehman Brothers

*"With a **diverse portfolio** that spans **all key platforms and numerous genres**, we strive to **captivate our global audience by creating the highest quality, most engaging** interactive entertainment franchises in our industry"*

- Take-Two Interactive

Business Strategy & Core Ideas

- Be the most **creative, innovative,** and **efficient** company in the entertainment industry
- Focus supporting the creative teams to follow their passion and provide financial support
- Do not annualize core action titles to keep IP alive, deliver great quality, build anticipation and long-term value
- Releases games when they are ready, and delay releases if necessary
- Seek the highest quality even if it takes more time and capital to create hits

Three Main Pipelines

1. Immersive Core
2. Mobile
3. New Iterations of Prior Releases

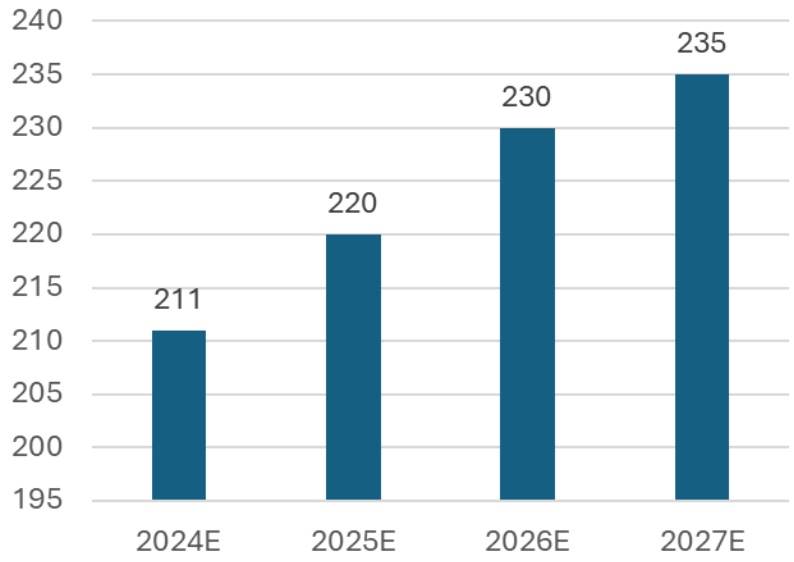
Industry Overview

Take-Two Interactive operates in the Video Game Industry, part of the $1.6T Communication Services sector

Industry Trends

- **Live service model:** Consistently updated games to keep players interested in playing
- **Microtransactions:** small, in-game purchases that allow players to enhance their gaming experience.
- **Broadening Demographics:** casual gamers and an increase in mobile users increases the market for video games.
- **User Generated Content:** games like Fortnite and platforms like Roblox allow players to create their own games/game modes/mods within the game/platform
- **Hyper-Casual Mobile Games:** free-to-play mobile games with very to easy to learn controls to appeal to the widest audience possible, to maximize advertising and/or microtransactions
- **Expansion to Alternative Forms of Entertainment:** successful video game franchises like *The Last of Us, Fallout, Sonic,* and *League of Legends* have TV show or movie adaptations to engage their audience, expand their fanbase, and drive catalog sales

Video Game Market Projected Growth (in billions)



Interactive entertainment is strongest growth segment of the entertainment industry

Post-COVID Adjustments

The games industry saw massive growth during the COVID pandemic and since then has slowed. Many studios are downsizing, and some smaller studios have shut down.

Investment Thesis Summary

Thesis Point 1	The mobile gaming market is experiencing significant growth, driven by increasing smartphone ownership, improved hardware capabilities, and rising consumer spending on mobile games.
Thesis Point 2	Take-Two Interactive's strategic mergers and acquisitions can help the company expand its portfolio, diversify revenue streams, and drive sustainable long-term growth.
Thesis Point 3	The release of *Grand Theft Auto VI*, one of the most anticipated games in history, is expected to drive massive sales and future recurrent revenue.

Bear Case	Base Case	Bull Case
$153.62	$181.52	$244.18
-15% downside	+1% upside	+36% upside

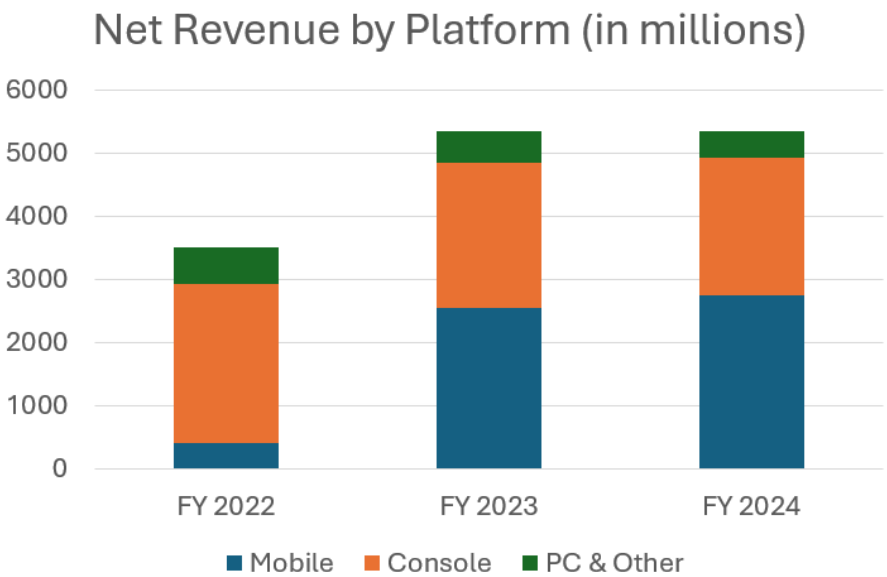
Thesis 1: Expanding Mobile Gaming Market

Take-Two Interactive's acquisition of Zynga in 2022 strategically positions the company to capitalize on the expansion of the mobile gaming market and leverage their expertise among the other divisions of the company

Zynga Poised to Take Advantage of Growing Market

- Owns **15 of the Top 200** Grossing Mobile Games in the U.S.
- **Top 5** Mobile Game Publisher in the World

- Around 50% of net revenue comes from mobile recurrent spending through free-to-play games.



Mobile Gaming Growth

Industry estimated to grow at a CAGR of +4% from 2023-2027

Catalysts:
Improving technology
Increased smartphone adoption
Growth in Asia, Middle East, Latin America

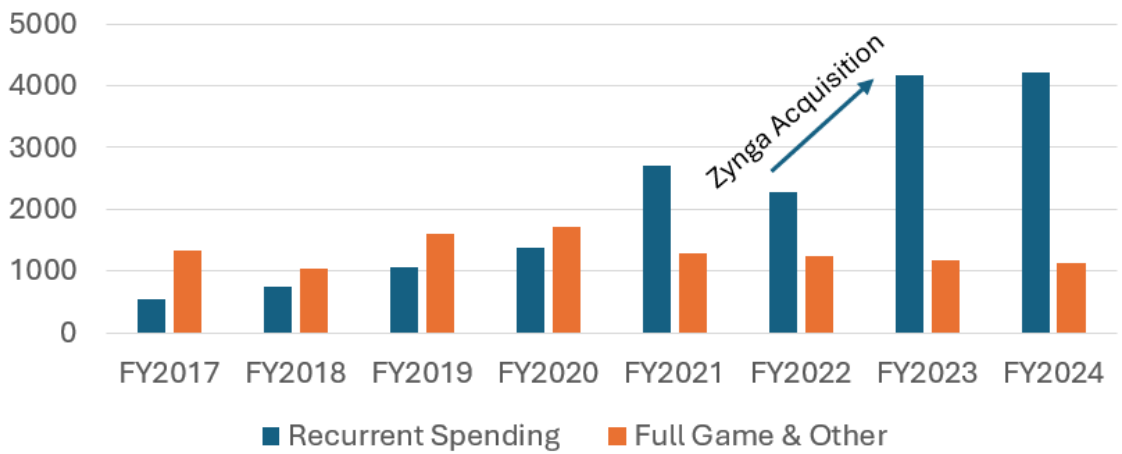
Hyper-Casual Games

- **3.6B+** lifetime downloads of hyper-casual type games owned by Zynga
- Wide audience base for advertising and cross-promotion of existing games
- Showing growth in recurrent spending when, historically, hyper-casual game revenue is largely from advertising

Thesis 2: Mergers & Acquisitions Boost Long-Term Growth

Take-Two Interactive can acquire companies to grow their portfolio of games and studios and drive growth to bookings. With the acquisition of Zynga, net bookings increased **55%**

Growth to Net Bookings (in Millions)



- Take-Two Interactive and its main labels can acquire more game studios to diversify its portfolio and expand to more platforms to increase its chances of making a hit game
- The acquisition of Zynga positions Take-Two Interactive to acquire more studios in the mobile gaming space and leverage their expertise among their non-mobile divisions

Recent Acquisitions by Type

Software & Analytics

(FiveM)

storemaven

Dynamixyz

Mobile Gaming

NORDEUS

zynga

Socialpoint

Video Game Studios

gearbox entertainment

POPCORE

(Hookbang)

RUFFIAN games

hb studios

Thesis 3: The Release of *GTA VI* & Other Franchises

Scheduled to release in Fall of Calendar 2025, *Grand Theft Auto VI* is expected to break sales records and bring increased revenue for the years to come.

Grand Theft Auto V sets Big Expectations for Sequel

Over **$8 billion in revenue** since 2013, making it one of the most successful video games of all time

Development spanned 3-5 years and cost $137 million, making it the most expensive game made at the time

Top Video Games by Lifetime Unit Sales

Title	Units Sold
Minecraft (2011)	300,000,000
Grand Theft Auto V (2013)	**205,000,000**
Wii Sports (2006)	82,900,000
PUBG: Battlegrounds (2017)	75,000,000
Mario Kart 8 (2014)	72,000,000
Red Dead Redemption 2 (2019)	**65,000,000**

Grand Theft Auto VI

First Trailer released December 4th, 2023; Releasing Fall 2025.

98% YouTube Rating
93M Views in 24 hrs.
228M Total Views

- First year sales are estimated to be **$2.4-3.8B** and will very likely beat launch sales records
- *GTA Online* for *Grand Theft Auto VI* will bring subscription revenue for years after release and keep the game interesting with expansions

Other Franchises

- ***Red Dead Redemption* (Rockstar Games)**
  - *RDR2* sold **65M+** copies and is among the Top 10 games by units sold
- ***NBA 2K* (2K Games)**
  - Total franchise sales of **150M+** units
  - New edition every year
- ***Borderlands* (2K Games)**
  - Total franchise sales of **89M+** units
  - Release of Borderlands 4 in Calendar 2025
- ***Sid Meier's Civilization* (2K Games)**
  - Total franchise sales of **73M+** units
  - Release of Civilization VII in February 2025

Catalyst & Risks

Catalysts	• Mobile gaming will continue to be a high growth area and Take-Two Interactive will leverage Zynga's expertise in mobile gaming to drive revenue growth. • The release of the game *Grand Theft Auto VI* will break sales records for *Grand Theft Auto V* and the video game industry and be a large source of revenue for the coming years through *GTA Online*. • Take-Two Interactive will continue to deliver new sequels to their flagship franchises and continue to capitalize on the fanbases they have built.

Risks	• Video games industry is very competitive, and businesses will need to take more risks to stand out.
	  • **Mitigant**: Take-Two Interactive already has a solid foundation of well-performing franchises that have proven to be successful
	
	• With the development of *Grand Theft Auto VI* taking over a decade to complete, future releases of Rockstar's successful franchises could be more expensive and take much longer to develop.
	  • **Positives**: To create sequential hits and increase the longevity of their franchises, more time and work will need to put in. AI tools can help with production speed.
	
	• Reliance on a few key franchises (*Grand Theft Auto, Red Dead Redemption*) to deliver large revenue growth poses a risk if any of these titles underperform.
	  • **Mitigant:** Diversifying their portfolio with new IP and bringing new content to existing successful games

SWOT Analysis

STRENGTHS

- Strong intellectual property & franchises such as *Grand Theft Auto, Red Dead Redemption*, with highly anticipated sequels
- Diverse business segments: immersive core, mobile casual
- Acquisition strategy to boost long-term growth
- Strong position in mobile gaming industry with top talent
- Presence on multiple hardware platforms
- Highly creative teams
- High barrier to entry in AAA immersive core games

WEAKNESSES

- Requires big hits to stay in business
- Live service games require maintenance and frequent updates to stay interesting
- Creating even bigger hits requires more work and time, and increases cost of failure
- Low sales price for amount of entertainment hours provided to consumers
- Hit franchises will eventually decay, must create new IP eventually

OPPORTUNITIES

- Growing mobile gaming market
- Technology & new entertainment mediums
- Emerging markets
- Subscription services
- User Generated Content
- Cut costs & increase production speed with AI to rapidly prototype & create visual elements
- Movies/TV Shows of existing franchises to increase catalog sales and awareness
- In-game advertising in immersive core titles
- International expansion

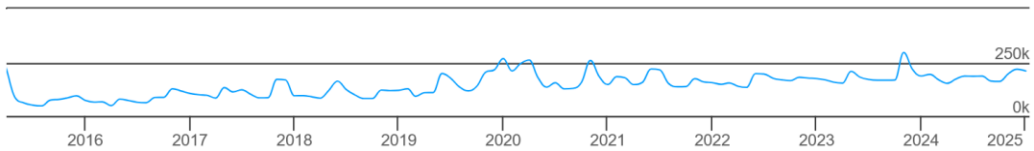
THREATS

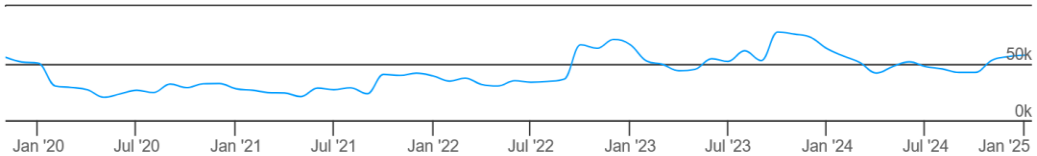
- Intensified competition & lower barriers to entry
- Shifts in consumer entertainment habits
- Declines in consumer spending
- High interest rates
- Debt from Zynga acquisition
- Cybersecurity risks

Long Term Hits vs Annualized Titles

Long term development cycles with multiple years between releases are core to Take-Two Interactive's growth strategy, while other competitors take an annualized approach.

Concurrent Player Counts of *Grand Theft Auto V* and *Red Dead Redemption 2* on PC (Steam)



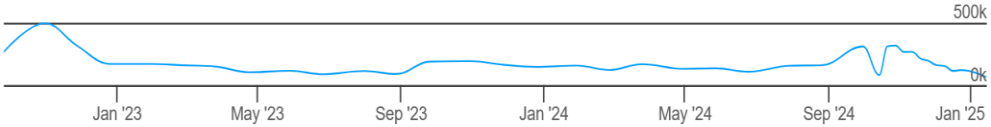


Grand Theft Auto V's CCUs have been **steadily increasing** since the PC release.

Red Dead Redemption 2 has **surpassed** its PC release CCUs.

Competitor Analysis: Activision's *Call of Duty* Franchise

The ***Call of Duty*** franchise has over 21 games, releasing nearly annually. Recent titles were bundled into the Call of Duty launcher, which holds over **50% negative** reviews on Steam due to frequent crashes and clear AI shortcuts. Steam CCUs for the franchise have been declining over time.



I believe this is primarily due to the unsustainable annual release cycle of the franchise, which rushes development and leave little time for innovation. This results in glitches and unfinished products being released, tarnishing the franchise's reputation among their players.

The Case for Non-Annualized Games

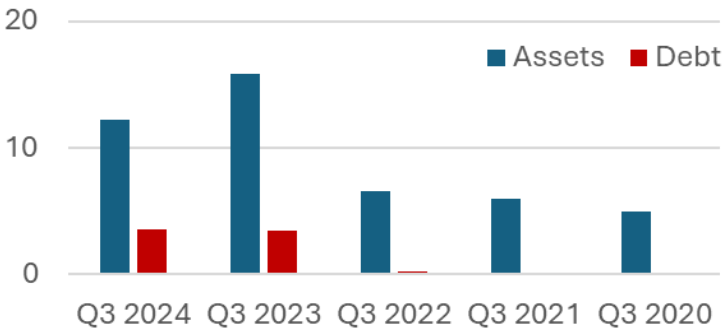
- Retain players for longer periods of time
- Build sustainable growth and **long-term value**
- Mitigate market cannibalization of older titles
- Leave players with a great experience and **anticipation** for the sequel

Financial & Growth Analysis

Financial State

- **Trailing EV/EBITDA of -36.25** due to high investment in growth and increase in expenses related to Zynga
- **Forward EV/EBITDA of 45.34** indicates high growth expectations
- **Five-Year Trailing Revenue CAGR of 14.9%**
- **$3.6B** in Debt related to $12.7B Zynga Acquisition & Expenses

Debt & Assets



Price Targets for FY26 GTA VI Sales Scenarios

Case	Base	Bull	Bear
FY26 GTA VI Units Sold (mil)	40	55	35
FY26 GTA VI Sales Revenue (mil)	$ 2,800	$ 3,850	$ 2,450
FY27-30 Yearly Revenue Growth	17%	18%	16%
Share Price	$ 181.52	$ 244.18	$ 153.62
Upside	1%	36%	-15%
Probability	60%	30%	10%
Weighted Price Target	**$**		**197.53**
Upside			10%

- Estimating GTA VI sales price at $70 on launch
- Estimate around 100 million active gamers with latest-gen consoles
- Assume there will be additional new console sales from gamers to play *Grand Theft Auto VI* or previous-gen console players

Base Case Sensitivity Analysis

		WACC (Discount Rate)						
Annual Growth % FY27-30	$ 181.52	**6.40%**	**6.65%**	**6.90%**	**7.15%**	**7.40%**	**7.65%**	**7.90%**
	14.00%	166.74	159.35	152.45	145.98	139.90	134.19	128.82
	15.00%	179.81	171.88	164.47	157.53	151.02	144.90	139.13
	16.00%	193.21	184.73	176.80	169.38	162.41	155.87	149.70
	17.00%	206.94	197.89	189.44	181.52	174.09	167.11	160.53
	18.00%	221.01	211.39	202.39	193.97	186.06	178.63	171.63
	19.00%	235.43	225.21	215.66	206.71	198.32	190.43	183.00
	20.00%	250.20	239.37	229.25	219.77	210.88	202.52	194.64

After expected revenue growth following the *Grand Theft Auto VI* release, I estimate FY27-FY30 average annual revenue growth around **17%** based on recurrent revenue, additional games to be released, and growth in mobile gaming & advertising

Past Financials and Future Assumptions – Base Case

(in millions)	Annual Results							Future Annual Estimates					
Fiscal Quarter/Year Ending:	3/31/2018	3/31/2019	3/31/2020	3/31/2021	3/31/2022	3/31/2023	3/31/2024						
Fiscal Quarter/Year:	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	**1,792.8**	**2,668.4**	**3,089.0**	**3,372.8**	**3,504.8**	**5,349.9**	**5,349.6**	**5,513.2**	**8,827.2**	**10,327.8**	**12,083.5**	**14,137.7**	**16,541.1**
COGS	898.3	1,523.6	1,542.5	1,535.1	1,535.4	3,064.6	3,107.8	2,442.7	4,413.6	5,163.9	6,041.8	7,068.9	8,270.6
Gross Profit	894.5	1,144.8	1,546.5	1,837.7	1,969.4	2,285.3	2,241.8	3,070.5	4,413.6	5,163.9	6,041.8	7,068.9	8,270.6
S&M	256.1	391.4	458.4	445.0	516.4	1,592.6	1,550.2	1,752.7	1,760.0	1,777.6	1,795.4	1,813.3	1,831.5
R&D	196.4	230.2	296.4	317.3	406.6	892.5	948.2	895.5	864.0	872.6	881.4	890.2	899.1
G&A	247.8	381.2	318.2	390.7	510.9	843.1	716.1	966.5	1,012.0	1,022.1	1,032.3	1,042.7	1,053.1
Depreciation	32.2	39.7	47.6	56.3	61.2	90.3	135.5	130.0	130.0	130.0	130.0	130.0	130.0
OpEx	732.5	1,042.5	1,120.6	1,209.3	1,495.1	3,418.5	3,350.0	3,614.7	3,636.0	3,672.4	3,709.1	3,746.2	3,783.6
OpInc (EBITDA)	162.0	102.3	425.9	628.4	474.3	(1,133.2)	(1,108.2)	(544.2)	777.6	1,491.5	2,332.7	3,322.7	4,486.9
EBIT	129.8	62.5	378.2	572.1	413.1	(1,223.5)	(1,243.7)	(674.2)	647.6	1,361.5	2,202.7	3,192.7	4,356.9
Interest	1.0	26.1	38.5	8.8	(14.2)	(141.9)	(103.6)	(101.9)	74.0	82.8	91.6	100.4	109.2
Pretax Income	130.8	88.6	416.7	580.9	398.9	(1,365.4)	(1,347.3)	(776.1)	721.6	1,444.3	2,294.3	3,293.1	4,466.1
Taxes	36.9	101.0	54.0	88.9	47.4	213.4	41.4	173.4	197.8	288.9	458.9	658.6	893.2
Net Income	93.9	(12.4)	362.7	492.0	351.5	(1,578.8)	(1,388.7)	(949.5)	523.8	1,155.5	1,835.4	2,634.5	3,572.9
EPS	0.9	(0.1)	3.2	4.3	3.0	(9.9)	(8.2)	(5.4)	3.0	6.6	10.5	15.0	20.3
Shares	110.2	113.2	113.1	114.6	115.5	159.9	170.1	175.6	175.6	175.6	175.6	175.6	175.6
Revenue y/y	1%	49%	16%	9%	4%	53%	0%	3%	60%	17%	17%	17%	17%
Gross Margin	50%	43%	50%	54%	56%	43%	42%	56%	50%	50%	50%	50%	50%
Operating Margin	9%	4%	14%	19%	14%	-21%	-21%	-10%	9%	14%	19%	24%	27%
GTA % of Revenue	39.7%	25.7%	23.0%	29.2%	30.9%	14.6%	14.7%						
Bookings y/y	10.6%	45.7%	3.1%	20.4%	-5.6%	55.4%	0.9%						

Net Working Capital	682.3	876.0	1454.9	1985.8	1766.1	-1343.5	-146.7	800.0	809.0	818.0	827.0	836.0	845.0
Increase in NWC	172.9	193.8	578.9	530.9	-219.6	-3109.6	1196.8	946.7	9.0	9.0	9.0	9.0	9.0
FCF	**-85.4**	**-164.7**	**-244.2**	**-28.6**	**494.0**	**1894.6**	**-2322.3**	**-1572.2**	**547.6**	**1182.3**	**1931.2**	**2813.6**	**3852.3**

Model Methodology & Investment Considerations

Model Methodology & Assumptions

- *Grand Theft Auto VI* sales & revenue for FY26 estimated to be between reach $2.4B to $3.8B, however it could beat expectations if *Grand Theft Auto VI* Online releases during the same year.
- Rockstar Games and 2K, large drivers of hit video games sales for Take-Two Interactive, **have not released a hit core-action game since pre-COVID** except for their annual NBA2K games.
- **Over the next 5 years**, these labels will release sequels to their best franchises to increase revenue such as *Grand Theft Auto, Red Dead Redemption, Borderlands, and Sid Meier's Civilization*.

Investment Considerations

- A large amount of growth is already priced into the stock price; however, I believe that Take-Two Interactive is one of the best positioned companies with a great CEO and can beat current expectations and has many long-term growth opportunities.
- A release date delay for *Grand Theft Auto VI* could be a buying opportunity if investor sentiment drops
- Future revenue growth past 2027 is harder to determine since a majority is hit-driven
  - Management does do not disclose guidance more than 2.5 years into the future.

Estimate of GTA VI Sales Price

Title (Release Date)	GTA III (2001)	GTA IV (2008)	GTA V (2013)	GTA VI (2025)
Standard Edition Price	$49.95	$59.99	$59.99	$70 to $80
Inflation Adjusted	**$90.03**	**$89.70**	**$82.22**	**$70 to $80**

With GTA Online being a large source of revenue, Take-Two Interactive will need to decide between a price point that can maximize units sold and total sales.

Recommendation

TAKE-TWO INTERACTIVE

Long Take-Two Interactive

Price Target: $197 (+10%)

Appendix

Data & Research Sources

https://www.ign.com/articles/best-selling-video-games-of-all-time-grand-theft-auto-minecraft-tetris

https://www.theesa.com/wp-content/uploads/2024/05/Essential-Facts-2024-FINAL.pdf

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